

ON THE ROAD TO RECOVERY

Even as pharma companies' financials improved after Covid-19, their ranks have slipped on the BT500 list

Company*	Rank 2022/2021	Average m-cap* (₹ crore)	Total income (₹ crore)	Profit after tax (₹ crore)	ROE (%)	TTM P/E (x)
Sun Pharmaceutical Industries	27/24	2,05,439.73 (34.7)	40,091.91 (16.7)	3,405.82 (49.1)	7.21	60.08
Divi's Laboratories	45/35	1,12,080.39 (5.7)	9,075.73 (29.1)	2,960.45 (49.2)	28.16	30.28
Cipla	63/61	77,664.75 (11.6)	22,085.07 (13.7)	2,559.47 (6.6)	13.10	35.58
Dr. Reddy's Laboratories	70/52	72,864.43 (-11.7)	22,029.9 (13.9)	2,112.20 (11)	11.55	24.02
Gland Pharma	96/81	51,132.53 (5.6)	4,624.64 (28.5)	1,211.66 (21.54)	18.61	28.93
Torrent Pharmaceuticals	100/84	49,251.43 (5.4)	8,704.6 (8.0)	777.18 (-37.9)	13.18	71.32
Biocon	120/80	41,015.70 (-15.7)	8,873.10 (14.5)	978.50 (5.7)	12.47	54.13
Zydus Lifesciences	121/76	40,985.44 (-22.7)	15,500.6 (7.3)	2,326.4 (5.5)	15.51	23.54
Alkem Laboratories	125/101	39,904.16 (9.0)	10,796.84 (18.7)	1,680.32 (3.9)	20.99	35.30
Abbott India	131/115	39,107.49 (12.9)	4,996.67 (13.7)	798.70 (15.6)	29.95	46.57

#TOP 10 PHARMACEUTICAL COMPANIES ON THE BT500 2022 LIST; *FROM OCTOBER 1, 2021 TO SEPTEMBER 30, 2022; TOTAL INCOME, PAT AND ROE FOR FY22; TTM: TRAILING 12 MONTHS; P/E MULTIPLE AS OF NOVEMBER 7, 2022; FIGURES IN BRACKETS ARE PERCENTAGE CHANGE YOY; RESULTS ARE ON A CONSOLIDATED BASIS **SOURCE** ACE EQUITY

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to 70 in 2022, despite its strong performance in the past several quarters. In Q2FY23, it reported revenue growth of 11 per cent YoY. The company is currently investing in several businesses for long-term growth, including neutraceuticals, contract development and manufacturing organisation (CDMO) services, vaccines and digital healthcare platforms. "We aim to continue to deliver growth and profitability through improved execution on product development and launch, improved productivity driven by continuous improvement as well as digitalisation," a company spokesperson told *BT*.

The story is similar for other companies like Divi's Laboratories and Cipla, but there are new challenges. "During Covid-19, most segments of the pharma sector including generics, domestic formulations, APIs and CDMO saw one-off opportunities that led to robust numbers for all companies. But, in

the current year, there has been an increase in overall costs in line with lower operating leverage. Going forward, normalcy would return with stability in revenues and profitability for pharma companies," says Rajesh Pherwani, Founder and Portfolio Manager of Valcreate Investment Managers.

For diagnostics firms, the wave of windfall profits is over following reduced RT-PCR testing. In Q2FY23, Dr Lal PathLabs recorded a 24.82 per cent dip in consolidated net profit to ₹72.40 crore in comparison to Q2FY22. The company also slipped from No. 164 in the BT500 rankings for 2021 to No. 202 this year. Similarly, Metropolis Healthcare reported a 30.69 per cent decline in consolidated net profits, from ₹58.40 crore in Q2FY22 to ₹40.48 crore in Q2FY23. Its overall revenue fell 0.8 per cent YoY, and Ebitda margin dropped over 350 basis points (bps) YoY. Metropolis's BT500 rank fell from No.

249 in 2021 to No. 308 in 2022.

According to a recent report by Antique Stock Broking, margins of the diagnostics industry reported during FY21 at the peak of Covid-19 will not be repeated anytime soon. Companies will record long-term revenue growth of 10-12 per cent, much lower than around 15 per cent CAGR seen in the past few years. Another report from Credit Suisse noted that Ebitda margins of Dr Lal and Metropolis have already declined by 300 bps (vs pre-Covid-19) to 23 per cent, and Credit Suisse's analysts expect them to contract further by 300-400 bps.

Meanwhile, the hospitals sector fared well in the BT500 rankings this year due to improvement in non-Covid patient footfalls, resumption of medical tourism, increase in routine surgeries and expansion by major players. Narayana Hrudayalaya rose in the rankings from No. 298 in 2021 to No. 281 in 2022. Fortis Healthcare remained